

AT YOUR SERVICE

▶ **India's SaaS market is likely to surpass \$50 billion in annual recurring revenue by 2030; combination of AI and Gen AI offers a big growth opportunity**

▶ **VC investments have slowed in the past two years due to a shift towards fundamental evaluations over market share and AI-driven solutions. But, stakeholders say investments are rising**

▶ **Vcs are increasingly selective, investing in SaaS companies that leverage AI and have robust business models, while seed investments remain active**

▶ **Faster Gen AI integration in SaaS will open up new opportunities, propelling the sector towards real-world problem-solving with advanced AI**

FOR MANY BUSINESS-ES hit hard during the pandemic, SaaS was the knight in shining armour. SaaS, which stands for software-as-a-service, with its cloud-based infrastructure has revolutionised business operations in the past few years.

According to a report by Bessemer Venture Partners, a venture capital firm specialising in technology-led companies, India's SaaS market is on course to surpass \$50 billion in annual recurring revenue (ARR)—projected earnings by way of subscriptions—by 2030.

SaaS represents a form of cloud computing where companies offer clients access to application software while managing all underlying physical and software resources. This model not only streamlines operations but also reduces costs and increases scalability for businesses. How is it different from plain-vanilla software? The simplest explanation is that instead of buying a software solution upfront and running it on premises, a business buys a subscription, which allows them to run the software on the cloud, where all the computing takes place. All that the client needs is a front-end, which could be just a browser.

SaaS firms offer services ranging from customer relationship management (CRM), enterprise resource planning (ERP), sales modules and complete business suites to conversational AI messaging and subscription billing, invoicing, and tax management, among others.

Let's get back to what the future holds for SaaS firms in India. A report in 2023 by SaaSBoomi—

FLOURISHING SaaS LANDSCAPE

3,500

Approx. no. of SaaS companies in India

19

Number of SaaS unicorns in India

80+

Companies with \$10 million+ in annual recurring revenue

1.9 MILLION

World-class talent present in India

SOURCE SAASBOOMI REPORT, BESSEMER VENTURE PARTNERS